

tariffs imposed by the US. The even better part is that passive investors didn't have to rush to buy and sell once those Zoom or Microsoft shares started to soar; it was all adjusted automatically for them through their fund. That is the beauty of passive investing.

This is one of the few 'female' strategies that Warren Buffett doesn't use. Buffett is an active value investor; he tries to actively pick stocks that he thinks are undervalued. Basically, he's looking for Tatcha skincare at Nivea prices.

However, despite being an active investor, Warren Buffett is a huge advocate for the average person investing in index funds rather than trading. In fact, he believes that for everyday investors, active investing will only lead to 'worse than average results'. (Remember [chapter 5](#) where I talked about his bet with a hedge fund that a passive index would beat the actively managed hedge fund's performance over 10 years?) When it comes to his family, he wants 90 per cent of his estate invested into index funds, specifically the S&P 500, when he passes away.

When you focus on passive investing you're looking at all the research that is stacked against you in terms of trying to pick winning stocks. Studies like those by the Research Affiliates in 2013 have found monkeys perform better in picking random stocks than investors. I can't say I'm any better at picking stocks than those monkeys.

#2: Dollar cost average instead of trying to time the market

Many people save up their first lump sum to invest and can't decide if they should put it all in at once or slowly over time. Should you wait for the market to drop?

Investors in training know that there is no point trying to time the market. If someone could perfectly time when the markets dropped and peaked, they would have become millionaires by now with their ability to always buy stocks at the bottom of the market and sell them when they knew the market was at its highest. But the reality is, you only know the bottom and the peak once they're gone, and by then it's too late.